FINAL DRAFT

ONE-TIME INTERIM AWARD & TRANSACTION BONUS CONSIDERATIONS

Cashco Financial

May 29, 2025

HUGESSEN
CONSULTING

Introduction & Agenda

Hugessen Consulting Inc. ("Hugessen") has been retained by the Chair of the Board of Cashco Financial ("Cashco" or the "Company") to support in the design of a one-time interim incentive award.

Our Understanding of the Situation *(informed by stakeholder interviews)*

- Cashco is exploring a potential sale, with an estimated deal size of $30MM-$65MM within the next 6-12 months
- The decision to sell was driven by challenges in raising capital over the last few years and new regulatory changes effective January 1st, 2025, which lowers the federal interest rate cap to 35% which significantly impacts Cashco's ability to serve parts of its client base
- Currently, efforts are focused on positioning Cashco for a transaction, including securing $10MM in interim capital, completing the platform conversion, and transitioning to a "digital-first" model

Objective

- The purpose of this meeting is to align on the:
  - General design principles of the **one-time interim incentive award**
  - Design and mechanics of the **transaction award**
  - Next Steps

Process to Date

- Reviewed relevant documentation from Cashco throughout **April** and stakeholder interviews with Lindsay Dodd & Dan Bruinooge (**April 10th**) and Gerard McInnis & Robert Reyerse (**April 10th**)
- Discussion with Lindsay Dodd, Gerard McInnis, and Robert Reyerse on **April 17th**
- Discussion with Lindsay Dodd and Gerard McInnis on **April 30th**

Next Steps

- Gain alignment on outstanding topics
- Final step will be to schedule time to discuss with Tim Latimer (to be scheduled)

Topics For Discussion

1. Introduction
2. Individualized Executive Summary
3. One-Time Interim Incentive Award – Draft Principles & Term Sheet
4. Transaction Bonus – Draft Design & Mechanics
5. Next Steps

Individualized Executive Summary

The following outlines our understanding of each executive's compensation treatment across three key components.

One-Time Interim Incentive Award *(see pg. 4 for more details)*

Purpose: Reward Management's efforts done to optimize business performance and right size the business ahead of a potential sale

- Team One would be eligible for this award, with **varying allocations across the team** *(CEO's proposed allocations shown)*
- Initial pool size is $320,413 (based on the deferred 87.5% of STIP). We understand there is a proposal to add the unearned MTIP value ($249,634) to the pool for the CEO
- Total award will be **realizable at the earlier of** Cashco experiencing **positive operating profit for two successive quarters with a threshold level of operating profit required at a 2:1 ratio or upon completion of a transaction**

2026 STIP Award

Purpose: Provide ongoing performance motivation during a transitional year

- **This award will proceed**, as normal, with the scorecard still to be finalized (i.e., performance metrics and thresholds).
- The target STIP % for the CEO would **increase to 50%**
- If a sale occurs within the **first 6 months** of the Company's fiscal year, consider providing a pro-rated **target payout**; else provide a pro-rated **payout based on actual performance** *(to be confirmed)*

Transaction Bonus Award *(see pg. 5 for more details)*

Purpose: Reward Management's efforts in the successful sale of Cashco

- The **pool size for this award will adjust** based on the realized transaction value and Team One would be eligible for this award, with **varying allocations across the team**
- For illustrative purposes, we have shown the min and max pool available for this award, with the allocations **calculated based on the individual's share of the total points** as provided by the Board Chair

	Lindsay Dodd CEO	Pierre Gagnon CFO	Alex Nuth CD&PO	Dan Bruinooge CP&CO	Ray Wilson CCO	Courtney Naumann CBO
Interim Award						
Initial Pool Size			$320,413			
% of Pool Allocation	17.51%	21.65%	19.19%	17.42%	12.99%	11.24%
Interim Award Opportunity $	**$56,093**	**$69,383**	**$61,482**	**$55,800**	**$41,630**	**$36,026**
MTIP	$249,634	$0	$0	$0	$0	$0
Total Interim Award Opportunity $	**$305,727**	**$69,383**	**$61,482**	**$55,800**	**$41,630**	**$36,026**
2026 Target STIP Award						
% (of Salary)	50%	50%	50%	50%	50%	50%
2026 Target Opportunity $	**$184,212**	**$132,600**	**$117,500**	**$106,641**	**$79,560**	**$68,850**
Transaction Bonus Award						
Pool Size (Min)			$360,000			
% of Pool Allocation	19.61%	19.61%	19.61%	13.73%	13.73%	13.73%
Min Transaction Bonus Opportunity	**$70,588**	**$70,588**	**$70,588**	**$49,412**	**$49,412**	**$49,412**
Pool Size (Max)			$1,185,000			
% of Pool Allocation	19.61%	19.61%	19.61%	13.73%	13.73%	13.73%
Max Transaction Bonus Opportunity	**$232,353**	**$232,353**	**$232,353**	**$162,647**	**$162,647**	**$162,647**
Summary of Interim Award and Severance Entitlement Payouts						
Interim Award Opportunity	$305,727	$69,383	$61,482	$55,800	$41,630	$36,026
2026 STIP Target Opportunity	$184,212	$132,600	$117,500	$106,641	$79,560	$68,850
Transaction Bonus (Min)	$70,588	$70,588	$70,588	$49,412	$49,412	$49,412
Transaction Bonus (Max)	$232,353	$232,353	$232,353	$162,647	$162,647	$162,647
Total (Interim + 2026 + Min. Trans. Bonus)	$560,527	$272,571	$249,570	$211,853	$170,602	$154,288
Total as a Multiple of Salary	1.52x	1.03x	1.06x	0.99x	1.07x	1.12x
Total (Interim + 2026 + Max Trans. Bonus)	$722,292	$434,336	$411,335	$325,088	$283,837	$267,523
Total as a Multiple of Salary	1.96x	1.09x	1.17x	1.02x	1.19x	1.30x

Note – each participant would be entitled to severance payments, based on the greater of their contractual entitlements or common law, if they are terminated without cause following a change of control event

One-Time Interim Incentive Award – Draft Principles & Term Sheet

Below we outline the draft terms and design principles of the one-time interim award for discussion.

Element	Terms & Conditions
Program Concept	Eligible Participants to receive a cash-settled award based on efforts done to optimize business performance and right size the business ahead of a potential sale of Cashco
Eligibility	Team One Executives
Grant	The pool size of this award will be $570,046, with the dollar amount varying for each executive
Funding	Award is realizable upon Cashco experiencing positive operating profits for two successive quarters and a threshold level of operating profit is required at a 2:1 ratio *(see "Definitions")*
Definitions	Operating profit defined as earnings before taxes, amortization, depreciation, but includes interest on third-party debt ("EBTDA"). A threshold level of operating profit is required at a 2:1 ratio—i.e., for every dollar allocated to the incentive pool, at least two dollars of operating profit must be generated (e.g., each quarter's operating profit to exceed $570K or the aggregate operating profit over two successive quarters to exceed $1.14MM). **If there is positive operating profit for two successive quarters but the 2:1 threshold is not met, there will be no partial payout but instead it gets carried over into the next quarter(s) until the threshold is met.**
Payout	The award is earned once there is positive operating profit for two successive quarters and the 2:1 threshold is met. Payout would occur 30 days after the two successive quarters' financial results are approved and finalized (following the threshold requirement). *In the event that a sales transaction occurs before the performance metrics are met, the Board would pay out the interim award to provide participants with some certainty.*
Settlement	The One-Time Award will be settled in cash.
Exit Provisions	In all cases, the Board retains discretion to accelerate vesting and payout of the interim awards. **Termination with Cause / Resignation / Retirement**: award is forfeited **Termination without Cause / Successful Transaction as defined under the Transaction Bonus Award**: automatic vesting of award **Death / Permanent Disability:** continued vesting of award

Transaction Bonus – Draft Design & Mechanics

The following outlines a potential approach to structuring the transaction bonus for discussion.

- Depending on the transaction value[1], the Board and Shareholder are considering awarding a bonus to recognize Management's efforts in the event of a successful sale of Cashco
- Below is an illustrative example of the award mechanics. Assuming that a transaction value **of less than $30MM** would result in a payout of **1.2% x the transaction** value. If a transaction value of **$30MM-$35MM** is achieved, the **incremental increase in transaction value would be 1.5%.** The **incremental increase in transaction value** would then increase by 0.5% for every $5MM in transaction value achieved (see example below assuming a $37.5MM transaction value).Unlike the STS agreement, **there will be a cap** applied to the bonus pool if anything over $60MM in value is achieved (i.e., max pool amount would be $1.185MM)
- Once the pool size is determined, it would be allocated among the executives based on their level of involvement in the transaction – for simplicity, we have assumed each person's allocation of the pool is based on their share of the total points.
  - For example, Lindsay, Pierre, and Alex were allocated 10 points each, while Dan, Ray, and Courtney were allocated 7 points each, resulting in a total of 51 points[1]. This results in each of the first 3 executives receiving ~20% (10/51) of the pool, while the latter 3 each receive ~14% (7/51) of the pool

Transaction Value	STS		Cashco	
	% Applied Incrementally	Success Fee	% Applied Incrementally	Pool Size
<$30MM*	6%	$1,800,000	1.2%	$360,000
$30MM - $35MM	7%	$2,150,000	1.5%	$435,000
$35MM - $40MM	8%	$2,550,000	2.0%	$535,000
$40MM - $45MM	9%	$3,000,000	2.5%	$660,000
$45MM - $50MM	10%	$3,500,000	3.0%	$810,000
$50MM - $55MM	11%	$4,050,000	3.5%	$985,000
$55MM - $60MM	12%	$4,650,000	4.0%	$1,185,000
>$60MM**	13%	$5,300,000		

* Above example is at $30MM

** Above example is at $65MM

Illustrative Example

Step 1: Determine Transaction Value: $37.5MM

Step 2: Determine Incremental Increase in Pool Size for each "tranche"

- $30MM x 1.2% = $360,000
- $5MM x 1.5% = $75,000
- $2.5MM x 2% = $50,000

Step 3: Determine Total Pool Size: *$360,000 + $75,000 + $50,000 = $485,000*

Step 5 Determine Allocation: *$485,000 x 20% = $97,000 **

**represents CEO allocation; to be done for each executive*

[1] Transaction Value is defined in accordance with the definition established in the STS agreement, and will be used as the basis for calculating the payments to STS and Cashco. Please refer to the full valuation methodology outlined in the STS agreement for a more detailed definition.

[1] Starting point allocations taken from correspondence with the Board Chair

Next Steps

Below we outline the next steps involved in this mandate:

Deliver report and gain alignment with key stakeholders